

the 1950s to 57%, the lowest on record in fifty years of data, what better time is there to use the debt and equity markets to prop up the real estate market via a cash-free 100% mortgage financing plan? As the November 15, 1993 solicitation indicates, all you have to do is put up 40% of a home's value in stock, as collateral! *IOUs* backed 40% by *stock* to buy *property* is a phenomenon that could only appear in the final days of a mania in debt and equity markets and a point of desperate denial in the real estate market. Of course, if the value of the stock drops, you will have to put up more stock or more money. If some day the customer cannot meet those terms, then the brokerage firm or the financing bank will own the property whether it wants to or not.

Deflationary Psychology in Politics

It is always interesting to watch background conditions (which most people call "the fundamentals") subtly fall into place to fulfill an Elliott Wave forecast. With the charts indicating an imminent deflation, a deflationary psychology has recently begun to take hold of the electorate. In November 1994, voters elected a Republican Congress. The party campaigned on a set of promises called the Contract With America, which includes a proposal to amend the U.S. Constitution to require a balanced federal budget. While it missed passing the Senate by one vote, the psychology that backed the idea remains. After electing politicians over four decades who spend more than they collect, voters want the U.S. government to slam on the brakes. This psychological impulse is deflationary, yet no one appears to recognize its meaning.

Another impulse that has been building over the past two years is the unconscious desire on the part of the administration to engage in a trade war. The U.S. trade representative has tried for two years to threaten Japan into altering its trade laws. One day soon, Japan will cease holding discussions on the matter. The U.S. will declare it has "no choice" but to apply trade tariffs to Japan's U.S. imports. The Japanese will retaliate, and a protectionist trade war, like the one that began with the Smoot-Hawley tariffs of 1929, will move into full swing. Tariffs reduce trade and are therefore deflationary. Though the U.S. and Japan have been staunch allies and vigorous trading partners, the risk of a major U.S.-Japanese confrontation in the next few years is tremendous.